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Philippine Movement for Climate Justice

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ENERGY REGULATORY COMMISSION
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SUBJECT: OPPOSITION TO THE PROPOSED GUIDELINES ON MID-MERIT NATURAL GAS CAPACITY AUCTION UNDER DEPARTMENT OF ENERGY CIRCULAR (DC) NO. 2026-06-0013

PMCJ vigorously opposes the promotion and development of natural gas. Our steadfast position is this: gas is not a safe, efficient, reliable, and cost-effective source of energy. As will be explained further below, emissions of methane – the main component of natural gas – that occur during its extraction and transport mean that natural gas is not as climate-friendly as peddled by its proponents. Further, gas prices are extremely volatile since they are at the mercy of geopolitical disturbances.

Nevertheless, below are our comments on the proposed guidelines for mid-merit natural gas capacity auction.

Section 6.1, Rule 2 of DC 2026-06-0013 is the provision the ERC circulated for comments. Under this provision, the ERC will determine the GAT price for each auction round. Taken in context with all the other provisions of DC 2026-06-0013, here are our observations:

1. Bloated gas price. The Reference Gas Price for Blended Natural Gas is the weighted average of the indigenous natural gas price and the LNG reference gas price. This is unacceptable. Instead of paying just the actual production cost, consumers will have to pay for inflated costs even if the indigenous natural gas price is relatively lower. This is because LNG prices are driven by fluctuating exchange rates and the impacts of geopolitical disruptions.

2. Consumers pay for winning bidder's costs. Since consumers, under the proposed guidelines, will pay for all costs incurred by the winning gas developer-bidder -- including capital recovery, financing costs, operation and maintenance costs, general and administrative costs, national and local taxes, and return on equity -- gas developers are practically assured a quick and robust return of their investments. How long then into the gas plants' operations must consumers bear this unfair financial burden

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3. Risky uniform rates. While the proposed guidelines differentiate GAT prices depending on facilities or technologies, the ERC may still impose a uniform rate in two instances: (a) where different capital cost structure warrants differentiated ceilings; and (b) where the Terms of Reference (TOR) does not specify the facility type, the GAT price will be determined based on the ERC's approximation of the technology. This is unacceptable as it would grant unchecked latitude to the ERC to determine GAT prices without being indexed on the actual fuel or technology used. Historically, this almost always leads to rate increases.

4. Pass-throughs. Fuel Cost Pass-Through (FCPT) allows recovery of procurement costs on a monthly basis for which there must be a monthly report. However, the ERC will only audit such reports once every two years. This means operators are guaranteed their monthly profits even for fuel costs that are later disallowed post-audit. And consumers can only recover such disallowed fuel costs after a long delay between audits. This "pay now, recover later" scheme will further unjustly burden electric consumers. Existing recovery mechanisms for consumers are spread over a number of months, unlike the FCPT which are collected by the operators in any given month.

   It is unacceptable that FCPT unjustly allocates the cost at the expense of electric consumers. Worse, there is no assurance that consumers are protected from exposure to volatile imported gas prices.

5. Consumers absorb all the risks. The Power Supply Procurement Plant (PSPP)-based settlement provides a shortfall mechanism to a winning bidder. This means if their actual market earnings fall below its guaranteed mid-merit settlement amount (MMSA), that shortfall is collected from all WESM customers. The winning bidder is assured of full cost recovery regardless of actual market price, and the entire consumer base will absorb the difference whenever WESM prices fall below the guaranteed rate. This is an attractive incentive for bidders, but a losing proposition for consumers. The utter inequity of this mechanism is too glaring to ignore.

6. The add-on cost cap that isn't there yet. The allowable add-on cost caps for regasification/terminal fees, pipeline transportation, marine/trucking transportation, LNG storage, gas processing, measuring, testing, and boil-off gas loss allowance are all left undefined, to be determined by the ERC, with no specific numbers in the guidelines itself. Pending that determination, the default fallback also lets a winning bidder submit its own comparable quotations to set

the ceiling. This is asking consumers to trust a ceiling that doesn't exist yet. Worse, it lets the bidder set that cap themselves.

7. Another pass-through. The Market Operator Cost Recovery allows the recovery of prudent and reasonable costs incurred in administering the Settlement Mechanism, which includes system development costs, information technology upgrades, and personnel and administrative overhead expenses. This is done through an application to the ERC, with a detailed cost justification. This is another objectionable consumer-funded pass-through on top of the fuel cost pass-through described in item no. 4 above.

8. Counter-productive incentive. The total mid-merit settlement formula compensates generators based on energy delivered rather than their available capacity. This defeats the purpose of procuring mid-merit capacity for its purported flexibility and reliability, as it relies purely on energy production. Because of this provision in the proposed guidelines, generators may feel incentivized to ensure dispatch even when market prices are low.

GAS IS NOT THE ANSWER

Having said all the above, we stand firm in our fundamental objection to the promotion and development of natural gas, for the following reasons:

a. Gas is a fossil fuel. The adoption of DC 2026-06-0013 will signal a further deviation from the country's climate action commitments. Gas proponents' attempts to position gas as a "transition fuel" rings hollow in the face of scientific consensus that gas is a fossil fuel and should be phased out along with coal and oil.

b. Renewable energy must be the way forward. DC 2026-06-0013 will entrench through policy the government's reliance on natural gas for the country's energy requirements despite the avowed targets proclaimed under the Philippine Energy Plan (PEP), i.e., increasing the share of renewable energy in the energy mix by 2035 and 2040.

c. Gas reliance violates the least cost principle. With increasing volatility of global prices – a special interest to the Philippines which imports more than 90% of its gas requirements -- electric consumers would be locked in not only to dirty gas projects but also to obscenely expensive power rates, in effect violating the least cost principle which the Electric Power Industry Reform Act (EPIRA) was anchored on.

d. Renewables are the least cost option. Between 2010 and 2024, the cost of solar power fell drastically by 62%. The cost of onshore wind fell by 70%, while the cost of offshore wind fell even more dramatically

by a staggering 90%.[1] Across Southeast Asia, renewables are now the cheapest source of power generation. The rapid decrease in the cost of solar, wind, and other renewable energy technologies make these the best option in power generation in the region. Projections show that wind and solar energy will become increasingly important, particularly in places where sunshine and wind are abundant. The Philippines must aggressively ride on this green trend before it is left behind by its Asian neighbors.

e. Gas prices are highly unstable. Gas prices are volatile and susceptible to geopolitical disruptions. The higher the reliance on gas, the bigger the fuel cost exposure. That risk lands on the consumers.

f. Natural gas emits methane, a potent greenhouse gas. Research shows that emissions of methane – the main component of natural gas – during its extraction and transport proves that natural gas is not an environmentally-friendly option.[2] It is no better than coal or oil. Recent scientific measurement campaigns,[3] some supported by the United Nations Environment Programme (UNEP), have shown that methane emissions from oil and gas operations are much higher than early estimates. Methane is a powerful greenhouse gas, about 84 times more potent than carbon dioxide measured over a 20-year period. While UNEP's Emissions Gap Report[4] says we must cut greenhouse gas emissions by up to 45 percent by 2030 to avoid a full-blown climate crisis, here we have the Philippine government pushing for the promotion and development of gas that could lock us in well beyond 2030.

   Note that the Philippines is part of the Global Methane Pledge (GMP) initiative, which was launched at the Conference of the Parties (COP) 26.[5] This initiative allows participating countries to voluntarily contribute to the collective effort to reduce global methane emissions by 30% in 2030 from 2020 levels. The present government's promotion and development of gas contradict the collective goal of limiting methane emissions.

g. The positioning of gas as a "transition fuel" or "bridge fuel" is a myth. Even though natural gas burns cleaner than coal, it is still a dirty fossil fuel. Transition fuel is a losing proposition for the environment and for consumers. Money spent on natural gas facilities takes decades to recover, and gas companies will want to use these facilities for their full lifetimes to maximize their investment, thus delaying the switch to renewables.

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[1] IRENA, Renewable Power Generation Costs in 2024.
[2] https://www.unep.org/news-and-stories/story/natural-gas-really-bridge-fuel-world-needs
[3] https://www.unep.org/topics/energy/methane/international-methane-emissions-observatory
[4] https://www.unep.org/resources/emissions-gap-report-2022
[5] https://www.globalmethanepledge.org/

h. Investment in natural gas does not incentivize a move to renewable energy. Gas companies, with their profits on the line, will actively oppose laws and regulations that promote renewables. Gas stakeholders will naturally refuse to shut down gas plants that are only starting to generate a profit. Building gas plants with no financial incentives for early closure defeats the much-vaunted purpose of natural gas as a "transition fuel."

i. Gas puts the people's health and lives at risk. Methane emissions and the risk of explosions at gas plants are a real danger. Fuel, whether transition or otherwise, should not cost vulnerable communities their health and lives. In Batangas, residents near fossil gas plants have long suffered from health impacts, with the City Health Office reporting high rates of morbidity due to respiratory illnesses and cardiovascular diseases between 2017 and 2021.

   Natural gas is a potent greenhouse gas and is mostly methane. Leaks from production wells, storage tanks, pipelines, processing plants, and coal mines release methane directly into the air; some of these leaks are deliberate (venting) and some are accidental.[6] Increasing the use of gas, supposedly as a strategy for "decarbonizing" electricity supply, will also increase the potential for such fugitive methane emissions. And the science is clear: methane is a much stronger greenhouse gas than carbon dioxide. Research shows that when averaged over a 100-year period, methane is approximately 27 to 30 times more potent than carbon dioxide.[7] But when averaged over a 20-year period, it is 81 to 83 times more potent.[8] Scientists at the Massachusetts Institute of Technology (MIT) say this greenhouse gas is short-lived but has far greater heat-trapping potential than CO2.[9] An MIT expert says the more concerned we are about global warming over the next 10 or 20 years, the more emphasis we have to put on cutting methane emissions.[10]

j. Gas is worse than coal in the short term. A methane molecule lasts only about 7 to 12 years in the atmosphere before it breaks down.[11] When coal combusts, it releases a large amount of CO2, and CO2 can persist for hundreds of years or more. So over a short window, methane's intense heat-trapping ability dominates the comparison,

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[6] "Why Is Methane Worse Than CO2 for the Climate?," published March 18, 2026 at: https://scienceinsights.org/why-is-methane-worse-than-co2-for-the-climate/

[7] Id.

[8] Id.

[9] "Why do we compare methane to carbon dioxide over a 100-year timeframe? Are we underrating the importance of methane emissions?," published Aug. 8, 2025 at the MIT website, viewable at: https://climate.mit.edu/ask-mit/why-do-we-compare-methane-carbon-dioxide-over-100-year-timeframe-are-we-underrating

[10] Id.

[11] Supra, at note 6

giving it a 20-year Global Warming Potential (GWP) of 81 to 83.[12] Over a longer window, methane has already disappeared while CO2 keeps accumulating, which is why methane's 100-year GWP drops to 27 to 30. This distinction has significant policy implications: If the goal is to drastically reduce global warming in the next 10 to 20 years (to avoid breaching the agreed 1.5-degree threshold), cutting methane delivers fast results precisely because it's so powerful in the short term.[13] Reducing CO2, on the other hand, is essential for the long game because it stays in the atmosphere for centuries.[14]

k. A costly transition. If true that gas is merely a "transition fuel," it is counter-productive to build expensive infrastructure and train a large workforce to specialize in an industry that will be phased out within 10 to 20 years. If the country is serious about its climate pledges, the government must incentivize investing in solar and wind – which we have in abundance – and make it more profitable than investing in natural gas.

[12] Id.
[13] Id.
[14] Id.